

Tax Structure & Sales/Use Tax Nexus Memo

VistaPort Media Inc. — Tax Structure & Sales/Use Tax Nexus Memo

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Estimated exposure	\$6m–\$9m

To Chief Financial Officer; Audit Committee
From Lena Strom, Head of Tax
Date 30 November 2025
Re Group tax structure and US sales/use tax nexus exposure

1. Purpose and summary

This memorandum summarises the Group's tax structure and addresses an identified **US sales/use tax economic-nexus exposure**. We estimate the aggregate historical exposure across affected states at approximately **\$6m–\$9m** (including estimated tax, interest and potential penalties), and we set out a remediation plan to register, file and, where available, mitigate through voluntary disclosure agreements.

2. Group tax structure (overview)

- US parent incorporated in Delaware; principal operating subsidiaries in the US.
- EU operations are conducted through the Irish subsidiary, which acts as the EU data controller and the contracting entity for EU customers.
- Additional operating entities in the UK, Germany and Singapore support regional sales and engineering.
- Transfer-pricing policy follows a cost-plus / residual-profit-split methodology, documented in the Group's master and local files.

3. Sales/use tax economic nexus

Following the expansion of economic-nexus rules across US states, certain digital advertising, subscription and data-service revenues may create sales/use tax collection obligations in states where the Group exceeds the relevant revenue or transaction thresholds. We have reviewed the Group's revenue footprint and identified a number of states where registration and collection obligations likely apply and where the Group has not historically collected.

State (illustrative)	Threshold basis	Est. exposure (\$m)	Status
California	Economic nexus — revenue	1.6	Registration in progress
New York	Economic nexus — revenue	1.3	VDA candidate
Texas	Economic nexus — revenue	1.1	Registration in progress
Illinois	Economic nexus — revenue/transactions	0.7	Under review
Washington	Economic nexus — revenue	0.6	VDA candidate
Other states (aggregate)	Various thresholds	1.0–3.7	Under review

Aggregating the above, the estimated historical exposure is approximately \$6m–\$9m. The range reflects uncertainty over the look-back period available under voluntary disclosure agreements and the apportionment of

digital-service revenue between states.

4. Remediation plan

- 1 Complete the nexus study and finalise state-by-state exposure quantification (Q1 2026).
- 2 Register prospectively in states where thresholds are met and commence collection.
- 3 Pursue voluntary disclosure agreements (VDAs) where available to limit the look-back period and abate penalties.
- 4 Implement automated tax-determination software for digital-service revenue.
- 5 Provide for the estimated exposure in the FY2025 accounts on completion of quantification.

5. Conclusion

The sales/use tax nexus exposure is genuine but bounded and manageable, with a clear remediation path. We recommend proceeding with registration and the VDA programme and reflecting the estimated exposure in the accounts as quantification is finalised. This matter is unrelated to the Group's income-tax position, which we consider well supported.

Confidential tax advice prepared for management and the Audit Committee. Subject to the NDA and clean-team protocol.